CATHOLIC UNIVERSITY OF CENTRAL AFRICA (UCAC)
FACULTY OF SOCIAL AND MANAGEMENT SCIENCES
SECOND SEMESTER EXAMINATIONS 2024/2025
BME3 ECONOMIC POLICY Time: 3 Hours

NOTE: *ATTEMPT ALL QUESTIONS RESPECTING THE INSTRUCTIONS AGAINST EACH QUESTION. FAILURE TO RESPECT INSTRUCTIONS WILL LEAD TO LOSS OF MARKS OR CANCELLATION OF ANSWERS.*

QUESTION I (20 Marks)
Write TRUE for the correct statement and FALSE for the wrong one. Do not copy any statement or write T and F for TRUE and FALSE respectively.

1) Economic policy are the monetary and fiscal instruments used to regulate economies.
2) Adjusting the tax rate is a major type of economic policy.
3) Adjusting tax rates downward directly decreases aggregate demand.
4) Overheating of the economy is cooled down with contractionary economic policies.
5) Supply-side policies are designed to increase the natural level of output.
6) Government actions always induce prosperity in the economy.
7) Government spending directly affects the number of people the government will be able to employ.
8) The size of the budget deficit is liable to impact macroeconomic balance.
9) Policy making and politics are distinct sides of the same coin.
10) The political context of a country is not an input into economic policy making.
11) Fiscal policy was designed to complement the laissez-faire approach to economic management.
12) All policies that enhance investment, innovation, and job creation are growth-oriented policies.
13) Management of public debt does not have any significant effect on interest rates and inflation.
14) Economic stagnation calls for expansionary policies.
15) Inflationary tendencies necessitate the use of contractionary monetary policy.
16) During a recession interest rates need to increase to boost economic activities.
17) Liberalization as an economic policy is tantamount to removing or relaxing government control on economic activities.
18) A main advantage of privatization is the loss of public service jobs.
19) Application and effects of the new economic policy are universal.
20) Economic policies are the exclusive preserve of economists.

QUESTION II (10 Marks)
Write the letter that corresponds to the correct answer. Do not copy the answer or the question.

i) Which of these is not a tool of monetary policy? (A) Reserve requirement (B) Discount rate (C) Moral suasion (D) None of the above
ii) Which of these is not part of the new economic policy? (A) Liberalization (B) Globalization (C) Privatization (D) Nationalization
iii) Which of these is a form of privatization? (A) Joint venture (B) Leasing (C) (A) and (B) (D) None of the above
iv) Which of these lay the general foundation for government's economic policy? (A) Stable prices and wages (B) Interest rate (C) Moral suasion (D) All of the above

Scanné avec CamScanner

v) Which of these, best describes a cure for economic slowdown? (A) Increase money supply (B) Reduce government spending (C) Increase tax rates (D) All of the above

vi) Ensuring that public debt remains at manageable levels is describing (A) Budget management (B) Fiscal sustainability (C) Price stability (D) (A) and (C)

vii) Monetary policy in Cameroon is assured by (A) Ministry of Finance (B) COBAC (C) BEAC (D) (A) and (C) only

viii) The period between policy implementation and attainment of desired results is known as: (A) Waiting period (B) Time lag (C) Evaluation period (D) Time constraint

ix) Which of these is not an instrument of supply-side policy? (A) Subsidy (B) Tax holiday (C) Incentives to investors (D) None of the above

x) Boosting economic growth can be enhanced through (A) Increasing taxes (B) Reducing money supply (C) Increasing interest rate (D) Increasing net exports.

QUESTION III (20 Marks)

Give brief answers to the following as indicated against each question.

i) List two goals of economic policy. (2 words or 2 phrases)

ii) What are the two major types of economic policy. (3 – 4 words)

iii) Which economic policy emphasizes the productive capacity of the economy? (3 words)

iv) Give any two benefits of economic policy. (2 phrases)

v) Which policy instrument appeals prudent behavior by commercial banks? (2 words)

vi) Which is the body that polices the financial system in Cameroon?

vii) What happens to domestic currency when money supply increases? (1 phrase or sentence)

viii) What are the two things public debt management is usually intended to do? (1 phrase or sentence)

ix) What are two problems associated with economic policy? (1 or 2 phrases)

x) Who initiated the new economic policy and why? (1 or 2 phrases or sentences)

QUESTION IV (20 marks)

A) What do you understand by contractionary and expansionary economic policies? (6 marks)

B) Select two instruments each of fiscal and monetary policies and carefully explain how they can be used to expand and/or contract the economy. (14 marks)

GOOD LUCK

Scanné avec CamScanner